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TJX Results Top Estimates, but Holiday Quarter View Falls Short

Sales at established stores rose 5%, mostly driven by customer traffic

By Tess Stynes
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TJX Cos. operates T.J. Maxx, Marshalls and HomeGoods chains. The company's forecast for the holiday quarter fell short of Wall Street expectations. ZUMA PRESS

TJX TJX **0.67%** ▲ Cos., parent of T.J. Maxx and other off-price chains, reported better-than-expected results for the three months ended in October, though the company's guidance for the holiday quarter fell short of expectations.

Shares rose 1.1% to $75 in recent premarket trading. Through Monday's close, the stock has fallen 11% from an all-time high in August.

For the quarter ending in January, TJX forecast per-share earnings of 96 cents to 98 cents, below estimates of $1.02, according to analysts polled by Thomson Reuters.

TJX, which also operates the Marshalls and HomeGoods chains, buys many of its goods through closeouts and sells them at discounted prices. This has helped TJX report mostly higher earnings and sales. In contrast, department stores have struggled as shoppers turn to lower-price competitors and online operators such as Amazon.com Inc.

For the period ended Oct. 29, sales at established stores increased 5%, above expectations for growth of 2% to 3%, mostly driven by customer traffic.

Over all, TJX reported a profit of $549.8 million, or 83 cents a share, down from $587.3 million, or 86 cents a share, a year earlier. Excluding debt-extinguishment charges, pension settlement charges and other items, per-share earnings were 91 cents, topping company expectations for 83 cents to 85 cents.

Revenue increased 6.9% to $8.29 billion. Analysts expected revenue of $8.22 billion.

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